

Entrepreneur and Entrepreneurship

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Entrepreneur and Entrepreneurship

1. Who is an Entrepreneur?
2. Characteristics of an Entrepreneur
3. Why do you want to be an Entrepreneur?
4. Skills you need to be an Innovative Entrepreneur

Confidence Organization Skills
Resources Creation Failure
ENTREPRENEUR
Opportunity Innovations
Finance Run Activity Grow
Initiatives Financial
Creativity Develop
Business Economic
Start Career Fund Competition

Intrapreneurship
Entrepreneurial Model
Money Job
Success
Capital
Passion

Who is an
Entrepreneur?

Who is an Entrepreneur?

- ▶ *Entrepreneurship is the **pursuit** of opportunity beyond resources controlled – Professor Howard Stevenson*
- ▶ “Pursuit” implies a singular, relentless focus
- ▶ Entrepreneurs often perceive a short window of opportunity
- ▶ They need to show tangible progress to attract resources, and the mere passage of time consumes limited cash balances

Who is an Entrepreneur?

- ▶ *Entrepreneurship is the pursuit of **opportunity** beyond resources controlled – Professor Howard Stevenson*
- ▶ “Opportunity” implies an offering that is novel in one or more of four ways.
- ▶ The opportunity may entail:
 - 1) pioneering a truly innovative product;
 - 2) devising a new business model;
 - 3) creating a better or cheaper version of an existing product; or
 - 4) targeting an existing product to new sets of customers.These opportunity types are not mutually exclusive.

Who is an Entrepreneur?

- ▶ *Entrepreneurship is the pursuit of opportunity **beyond resources controlled** – Professor Howard Stevenson*
- ▶ “Beyond resources controlled” implies resource constraints.
- ▶ At a new venture’s outset, its founders control only their own human, social, and financial capital.
- ▶ Many entrepreneurs bootstrap: they keep expenditures to a bare minimum while investing only their own time and, as necessary, their personal funds. In some cases, this is adequate to bring a new venture to the point where it becomes self-sustaining from internally generated cash flow.
- ▶ With most high-potential ventures, however, founders must mobilize more resources than they control personally: the venture eventually will require production facilities, distribution channels, working capital, and so forth.

Risks and Entrepreneur?

Entrepreneurs face considerable risk, which comes in four main types.

- ▶ **Demand risk** relates to prospective customers' willingness to adopt the solution envisioned by the entrepreneur.
- ▶ **Technology risk** is high when engineering or scientific breakthroughs are required to bring a solution to fruition.
- ▶ **Execution risk** relates to the entrepreneur's ability to attract employees and partners who can implement the venture's plans.
- ▶ **Financing risk** relates to whether external capital will be available on reasonable terms.

The entrepreneur's task is to manage this uncertainty, while recognizing that certain risks cannot be influenced by their actions.



Who is an Entrepreneur?

An entrepreneur is someone who perceives an opportunity and creates an organization to pursue it

Entrepreneur and Entrepreneurship

- ▶ entrepreneur is one who creates his own business i.e., a person who organizes, operates and assumes the risk of a business venture
- ▶ entrepreneurship refers to a process of action an entrepreneur undertakes to establish his enterprise
- ▶ The entrepreneur is essentially a business leader and the functions performed by him are entrepreneurship

Entrepreneur

Refers to a person

Visualiser

Creatore

Organiser

Innovator

Technician

Initiator

Decision-maker

Planner

Leader

Motivator

Programmer

Risk-taker

Communicator

Administrator

Entrepreneursh

Refers to a process

Vision

Creation

Organisation

Innovation

Technology

Initiative

Decision

Planning

Leadership

Motivation

Action

Risk-taking

Communication

Administration

Characteristics of an Entrepreneur?

An entrepreneur is a highly achievement oriented, enthusiastic and energetic individual, who has following characteristic:

1. Entrepreneurs are action oriented, highly motivated individuals who takes risks to achieve goals.
2. Entrepreneurs will have unwavering determination and commitment. They are creative and result-oriented. They work hard in return for personal and financial rewards.
3. Entrepreneur accepts responsibilities with enthusiasm and endurance.
4. Entrepreneur have self-confidence, they are dedicated, setting self determined goals and markets for their ideas responding to existing market.
5. Entrepreneurs are thinkers and doers, planners and workers.
6. Entrepreneurs can for see the future, as a salesman's persuasiveness, a financial talent for manipulating funds, as auditor's precision etc.
7. Entrepreneur depends on the intelligence, imagination and strength of purpose of the individual.

Quality	Essential	Rare	Difficult to screen for	Observable over time	Capable of development
Foresight	✓	✓	✓	✓	✓
Imagination	✓	✓	✓		
Communication	✓			✓	✓
Self-knowledge	✓		✓	✓	✓
Autonomy	✓	✓	✓	✓	✓
Search skills	✓		✓	✓	✓
Analytical ability	✓	✓		✓	✓
Networking skills	✓			✓	✓
Manage risk	✓			✓	✓
Delegation		✓	✓	✓	✓
Organizational skills		✓	✓	✓	✓
Industry knowledge/expertise	✓			✓	✓

Characteristics of an Entrepreneur

Why do you want to be an Entrepreneur?

- Difference between Wage Employment and Entrepreneurial Employment

	Wage Employment	Entrepreneurial Employment
Nature	Self Satuating	Self Generating
Scope	Limited	Unlimited
Orientation	• Routine Types	• Creative
	• Status Quo	• Innovative
	• Problem Avoiding	• Problem Solving
	• Dependent	• Independent Decisions
Contribution	Consumes National Wealth	Generates National Wealth
Earning	Fixed (Subsistence)	Growing (Generating Surplus)

Advantageous of being an Entrepreneur



Skills You Need to be an Innovative Entrepreneur.

- ▶ **Basic Financial Skills:** Financial skills, such as budgeting and financial statement analysis, are necessary for running a business; Creating a reasonable budget and sticking to it can be the difference between your venture's success and failure; By learning this skill, you can avoid overspending and appropriately allocate your company's resources
- ▶ **Networking:** Your network is one of your greatest assets. Networking can enable you to not only meet like-minded professionals but build your future team and keep a finger on the pulse of your industry; Your professional network can consist of Co-workers, Clients, Business Professionals, Industry Leaders and Speakers, Friends and Family Members,

Skills You Need to be an Innovative Entrepreneur.

- ▶ **Ability to accept and act on Feedback:** To succeed as an entrepreneur, you need to be eager to receive and act on feedback. This skill requires you to stay humble and accept that your idea of the perfect version of your product may not resonate with potential customers
- ▶ **Pattern Recognition:** Pattern recognition—in data, market trends, and user behavior—is an often overlooked skill for entrepreneurs. Identifying patterns in cash flow statements, observing market sales data to identify seasonality or other time-related trends

Skills You Need to be an Innovative Entrepreneur.

- ▶ **Strategic Thinking:** Strategic thinking encompasses any skills that enable you to use critical thinking to solve complex problems and plan for the future; Analytical Skills, Communication Skills, Problem Solving Skills, and Planning and Management Skills have to be developed
- ▶ **Negotiation:** Building a company requires engaging in negotiation with potential investors, early employees, and prospective partners
- ▶ **Growth Mindset:** A growth mindset views intelligence, abilities, and talents as learnable and capable of improvement, as opposed to a fixed mindset, which views those same traits as inherently stable and unchangeable over time

Summary

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